NORTHWIND TECHNOLOGIES, INC.

2025 Annual Report

For the fiscal year ended December 31, 2025

SAMPLE DOCUMENT – all company names and figures are fictional.

Letter to Shareholders

Dear Shareholders,

Fiscal 2025 was a year of disciplined growth and strong execution. Revenue increased 14.2% to $482.6 million, driven by expansion of our cloud subscription business and continued adoption of our analytics platform among mid-market customers. Operating income grew 21.5% to $71.9 million, and operating margin expanded 90 basis points to 14.9%.

We generated $88.4 million in cash from operations and returned $25.0 million to shareholders through share repurchases. We ended the year with $212.7 million in cash and equivalents and a net cash position of $87.7 million.

Looking ahead to 2026, we expect to continue investing in product innovation, international expansion, and talent, while maintaining our focus on profitable growth. We thank our employees, customers, and shareholders for their continued trust.

Sincerely,
Maria Alvarez, Chief Executive Officer

Financial Highlights

($ in millions, except per share)	2025	2024	Change
Revenue	$482.6	$422.6	14.2%
Gross profit	$318.5	$274.7	15.9%
Operating income	$71.9	$59.2	21.5%
Net income	$54.3	$44.1	23.1%
Diluted EPS	$2.71	$2.18	24.3%
Cash from operations	$88.4	$70.6	25.2%

Management’s Discussion & Analysis

Revenue. Subscription revenue grew 19% to $351.2 million and represented 73% of total revenue (2024: 69%). Professional services revenue was $131.4 million, up 3%. North America contributed 68% of revenue; international revenue grew 22%.

Gross margin. Gross margin was 66.0% versus 65.0% in the prior year, reflecting improved hosting efficiency and a higher mix of subscription revenue.

Operating expenses. Total operating expenses were $246.6 million, or 51.1% of revenue, compared with 51.0% in 2024. R&D investment rose 12% to $97.4 million as we expanded our AI-driven analytics capabilities.

Liquidity. Cash and equivalents were $212.7 million. We have a $150.0 million undrawn revolving credit facility maturing in 2029.

Consolidated Statements of Income

($ in thousands)	2025	2024
Revenue	482,600	422,600
Cost of revenue	164,100	147,900
Gross profit	**318,500**	**274,700**
Research and development	97,400	86,900
Sales and marketing	101,200	90,300
General and administrative	48,000	38,300
Total operating expenses	246,600	215,500
Operating income	**71,900**	**59,200**
Interest and other income, net	3,100	2,400
Income before taxes	75,000	61,600
Provision for income taxes	20,700	17,500
Net income	**54,300**	**44,100**

Consolidated Balance Sheets

($ in thousands)	Dec 31, 2025	Dec 31, 2024
Cash and cash equivalents	212,700	176,500
Accounts receivable, net	96,300	84,200
Prepaid and other current assets	18,900	16,100
Total current assets	**327,900**	**276,800**
Property and equipment, net	54,600	49,300
Goodwill and intangibles	142,300	145,800
Other assets	21,400	19,700
Total assets	**546,200**	**491,600**
Accounts payable	24,800	22,100
Accrued expenses	47,300	42,600
Deferred revenue	118,500	103,200
Total current liabilities	**190,600**	**167,900**
Long-term debt	125,000	125,000
Other long-term liabilities	16,800	15,400
Total liabilities	**332,400**	**308,300**
Total stockholders’ equity	213,800	183,300
Total liabilities and equity	**546,200**	**491,600**

Selected Notes

Note 1 – Revenue recognition. Subscription revenue is recognized ratably over the contract term. Professional services revenue is recognized as services are performed.

Note 2 – Debt. Long-term debt consists of $125.0 million in senior notes bearing interest at 4.5%, due 2030.

Note 3 – Share repurchases. During 2025, the Company repurchased 0.52 million shares at an average price of $48.08 per share.

Note 4 – Subsequent events. No material subsequent events were identified through the date of issuance.